



Course Information

Course Number: FINC 361

Course Title: Managerial Finance I

Section: 599

Time: Online

Location: Online

Credit Hours: 3

Instructor Details

Instructor: Yuan Zhou

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Office Hours:

Friday 9:00 am -- 10:00 am (Zoom)

or by appointment

Course Description

This course studies the major financial decisions made by corporate managers. Essential in many of these decisions is the process of valuation. Topics include valuation of corporate securities, the cost of capital, capital structure choice, capital budgeting principles, corporate governance, and mergers and acquisitions.

Course Prerequisites

ACCT 327 or concurrent enrollment; FINC 210 or concurrent enrollment; FINC 341 with a grade of C or better; BUSN 203 or concurrent enrollment, or AP STAT 301 or AP STAT 302 or AP STAT 303.

Learning Outcomes

You will be able to make each of the following statements by the end of the semester:

- I understand the conflicts of interest between different stakeholders of the firm and the tools used to solve these governance conflicts.



- I can implement techniques to decide which projects a firm should undertake, and I can address many of the common issues in capital budgeting.
- I can calculate a firm's cost of equity and debt capital, and I know how to use WACC appropriately in capital budgeting decisions.
- I can evaluate stocks and bonds issued by corporations.
- I understand how a firm can finance itself and can evaluate the factors that go into the debt issuance versus equity issuance decision of the firm.
- I know the steps involved and the costs and benefits of raising capital for a firm through an IPO.
- I know why firms retain or pay out profits and understand the costs and benefits of dividend payments and share repurchases.
- I understand the benefits and common mistakes associated with mergers and acquisitions.

Course Materials

1. **Textbook** "Fundamentals of Corporate Finance" by Berk, DeMarzo, and Harford, Prentice Hall, 6th edition. While the textbook is not required, it is highly recommended that you read the corresponding chapters to accompany the materials covered in class. Several copies of the textbook should be available at the library. Using older editions of the book works just fine.
2. **MyLabFinance** for "Fundamentals of Corporate Finance" by Berk, DeMarzo, and Harford, Prentice Hall, 6th edition. Access to MyLabFinance is required, and part of your course grade will be based on online homework assignments and quizzes in MyLabFinance. Please see the last page of the syllabus for information on how to register for online access to MyLabFinance.
3. **Other materials:** All additional reading materials will be distributed by email or posted on the course website on **Canvas**. **You have to use Canvas for this course and make sure you can receive notifications from Canvas.**
4. **Calculator:** You will need a calculator for this course. Any calculator that is able to calculate the answer to y^x such as $(1.05)^3$ is sufficient - a financial calculator is not needed. The calculator should be brought to all exams and calculators cannot be shared between students during exams.

The purchase options for MyLabFinance are listed below:

- Pearson website: MyLab Finance with Pearson eText, ISBN13: 9780137852895
<https://www.pearson.com/en-us/subject-catalog/p/fundamentals-of-corporate-finance/P200000009821/9780137852895>
- Bookstore: Fundamentals of Corporate Finance -- MyLab Finance with Pearson eText Access Code, ISBN 13: 8220144569894
<https://tamu.bncollege.com/shop/tamu/page/find-textbooks>

If you choose to purchase the access code through bookstore, **please do not use any ISBN code other than the ones provided above.** There are many versions of this book, and if you buy other versions, you



will not be able to access MyLabFinance. In particular, the title of the book is “Fundamentals of Corporate Finance” (not “Corporate Finance”, or “Corporate Finance: The Core”, or the “Global Edition”). **Be careful with used textbooks. The access code might have been already used by the previous owner of the textbook. You are welcome to use a pre-owned textbook but in that case, you most likely need to purchase the access code to MyLabFinance separately.**

Course Requirements and Grading Policies

Course requirements include active participation in class, online homework assignments and quizzes in MyLabFinance, the midterm and final exams. The course grade is determined by the total points achieved based on the following four components:

20%	Online homework (8 in total)
20%	Online quizzes (best 4 of 5)
30%	Midterm exam
30%	Final exam (cumulative)

Students’ work on all graded items should be completed independently. Using work completed by someone else is considered academic dishonesty. Meaning, you may not use another person’s work to satisfy your course assignments. This includes, but is not limited to, another person’s work obtained through face-to-face conversations, phone calls, text messages, instant messages, chats, Slack exchanges, email messages, social media posts, tutoring sites, questions/answers on discussion forums, blogs, etc.

Homework

Homework is a key part of this course and critical to your success. There will be eight homework problem sets assigned throughout the semester via MyLabFinance. The homework problems allow you to apply these concepts and practice. You will have unlimited attempts before the due date (normally Sunday), which means it is not difficult to get full credit if you put in the effort. Any submission after the deadlines will not be graded.

Online Quizzes

There will be a total of 5 quizzes assigned through MyLabFinance unless otherwise instructed. Each quiz is worth 3.75% and may consist of true or false, multiple choice, short answer or computational/worksheet questions. The 4 highest quiz scores will be counted towards your final grade, meaning you can receive a maximum of 20% for quizzes. Quizzes are normally due on Sundays (the last quiz is due on Wednesday), and the material will be based on the lectures up to the prior week and will primarily focus on the recent lectures not covered by the previous quizzes.

Missing a quiz will result in a grade of zero for that quiz unless the absence is excused per university policies (see the Make-up Policy in the Additional Policies). Students who have excused absence per university policies will have the average of their grades on the other quizzes substituted for the missed quiz. There will be no make-up quizzes.



Midterm Exams

The midterm exam will be held on **Tuesday, July 21st**. The midterm exam will be in class, close-book, and close-notes. The exam will be distributed online at the beginning of the class and students have to submit their response by the end of the class, unless otherwise instructed. Students must complete the exam independently. Please bring a calculator but no other electronic devices. Absence from the midterm exam will result in a grade of zero for that exam unless the absence is excused per university policies. There will be no make-ups without a university excused absence.

Final Exam

Final exam is cumulative and will be in class, close-book, and close-notes. Students must complete the exam independently. Absence from the final exam will result in a grade of zero for that exam unless the absence is excused per university policies (see the Make-up Policy in the Additional Policies). There will be no make-ups without a university excused absence.

Class Time	Final Time
Online	Wednesday, Aug 5 th

Final Grade

The target average grade for FINC 361 is in the range of 2.60 – 2.80, consistent with the department guidelines. Notwithstanding these grading guidelines, the following student protection measures shall apply: (i) any student who earns a numeric grade of 90% or higher shall be guaranteed a letter grade of A in the course, (ii) a percentage grade of 80% guarantees a B, (iii) a percentage grade of 70% guarantees a C, and (iv) a percentage grade of 60% guarantees a D (for more information about the grading policy of the finance department please see the end of the syllabus).

Late Work Policy

For homework and quizzes, any submission after the deadlines will not be graded.

Absence from a midterm or final exam will result in a grade of zero for that exam unless the absence is excused per university policies. (See Student Rule 7.) There will be no make-ups without a university excused absence.

Tentative Course Schedule

Below is my best estimate of our weekly schedule. These dates are approximate; some material may take longer or shorter to cover than the time allotted. The chapters listed below refer to “Fundamentals of Corporate Finance” by Berk, DeMarzo, and Harford, 6th edition.



Date	Topics	Book Chapter
July 1 st	Introduction	
July 2 nd , 3 rd	Objective of the firm and corporate governance	Ch. 1, 26
July 6 th , July 7 th	Introduction to financial statement analysis	Ch. 2
July 8 th , July 9 th	Time value of money and investment decision rules	Ch. 3, 4
July 10 th , 13 th	Stock valuation	Ch. 7, 10
July 14 th , 15 th	Risk and return, cost of equity	Ch. 11, 12
July 16 th	Risk and return. cost of debt	Ch. 6, 15
July 17, July 20	Leverage and the cost of capital	Ch. 13
July 21	Midterm	
July 22 nd	Capital structure	Ch. 16
July 23 rd , 24 th	<i>Project cost of capital</i>	Ch. 13, 16
July 27 th , 28 th	Capital budgeting	Ch. 9
July 29 th , July 30 th	Raising capital. Payout policy	Ch. 14
July 31 st	Mergers and acquisitions	Ch. 17
Aug 3 rd , 4 th	Review	
Aug 5 th	Final exam (cumulative)	

Technology Support and Resources

- For the instructions to register for this course on MyLabFinance system, refer to the last page of this syllabus.

University Policies

This section outlines the university level policies that must be included in each course syllabus. The wording of these policies is established by the Faculty Senate.

○ Attendance Policy

The university views class attendance and participation as an individual student responsibility. Students are expected to attend class and to complete all assignments.

Please refer to [Student Rule 7](#) in its entirety for information about excused absences, including definitions, and related documentation and timelines.



○ Makeup Work Policy

Students will be excused from attending class on the day of a graded activity or when attendance contributes to a student's grade, for the reasons stated in Student Rule 7, or other reason deemed appropriate by the instructor.

Please refer to [Student Rule 7](#) in its entirety for information about makeup work, including definitions, and related documentation and timelines.

Absences related to Title IX of the Education Amendments of 1972 may necessitate a period of more than 30 days for make-up work, and the timeframe for make-up work should be agreed upon by the student and instructor" ([Student Rule 7, Section 7.4.1](#)).

"The instructor is under no obligation to provide an opportunity for the student to make up work missed because of an unexcused absence" ([Student Rule 7, Section 7.4.2](#)).

Students who request an excused absence are expected to uphold the Aggie Honor Code and Student Conduct Code. (See [Student Rule 24](#).)

○ Academic Integrity Statement and Policy

"An Aggie does not lie, cheat or steal, or tolerate those who do."

"Texas A&M University students are responsible for authenticating all work submitted to an instructor. If asked, students must be able to produce proof that the item submitted is indeed the work of that student. Students must keep appropriate records at all times. The inability to authenticate one's work, should the instructor request it, may be sufficient grounds to initiate an academic misconduct case" ([Section 20.1.2.3, Student Rule 20](#)).

You can learn more about the Aggie Honor System Office Rules and Procedures, academic integrity, and your rights and responsibilities at <https://aggiehonor.tamu.edu>.

○ Americans with Disabilities Act (ADA) Policy

Texas A&M University is committed to providing equitable access to learning opportunities for all students. If you experience barriers to your education due to a disability or think you may have a disability, please contact Disability Resources in the Student Services Building or at (979) 845-1637 or visit <https://disability.tamu.edu>. Disabilities may include, but are not limited to attentional, learning, mental health, sensory, physical, or chronic health conditions. All students are encouraged to discuss their disability related needs with Disability Resources and their instructors as soon as possible.

○ Title IX and Statement on Limits to Confidentiality

Texas A&M University is committed to fostering a learning environment that is safe and productive for all. University policies and federal and state laws prohibit gender-based discrimination and sexual harassment, including sexual assault, sexual exploitation, domestic violence, dating violence, and stalking.



With the exception of some medical and mental health providers, all university employees (including full and part-time faculty, staff, paid graduate assistants, student workers, etc.) are Mandatory Reporters and must report to the Title IX Office if the employee experiences, observes, or becomes aware of an incident that meets the following conditions (see [University Rule 08.01.01.M1](#)):

- The incident is reasonably believed to be discrimination or harassment.
- The incident is alleged to have been committed by or against a person who, at the time of the incident, was (1) a student enrolled at the University or (2) an employee of the University.

Mandatory Reporters must file a report regardless of how the information comes to their attention – including but not limited to face-to-face conversations, a written class assignment or paper, class discussion, email, text, or social media post. Although Mandatory Reporters must file a report, in most instances, a person who is subjected to the alleged conduct will be able to control how the report is handled, including whether or not to pursue a formal investigation. The University's goal is to make sure you are aware of the range of options available to you and to ensure access to the resources you need.

Students wishing to discuss concerns related to mental and/or physical health in a confidential setting are encouraged to make an appointment with [University Health Services](#).

Students can learn more about filing a report, accessing supportive resources, and navigating the Title IX investigation and resolution process on the University's [Title IX webpage](#).

○ Statement on Mental Health and Wellness

Texas A&M University recognizes that mental health and wellness are critical factors influencing a student's academic success and overall wellbeing. Students are encouraged to engage in healthy self-care practices by utilizing the resources and services available through [University Health Services](#). Students needing a listening ear can call the Texas A&M Helpline (979.845.2700) from 4:00 p.m. to 8:00 a.m. weekdays and 24 hours on weekends for mental health peer support while classes are in session. The [TELUS Health Student Support app](#) provides access to professional counseling in multiple languages anytime, anywhere by phone or chat, and the 988 Suicide & Crisis Lifeline offers 24-hour emergency support at 988 or [988lifeline.org](#).

Mays Food & Beverage Policy

We have beautiful and state-of-the-art classrooms in the Wehner Building and Cox Hall. We want to maintain the high quality of these classrooms for the students in future years. Thus, it is necessary for you to adhere to the established policy of no beverages, food, tobacco products, or animals (unless approved) within the classrooms. Bottled water is permitted. Your assistance is greatly appreciated.



Registration Instruction for MyLabFinance

To register for **FINC 361 Managerial Finance, Section 599**:

1. Go to <https://mlm.pearson.com/enrollment/zhou99296>
2. Sign in with your Pearson student account or create your account.
3. Select any available access option, if asked.
 - » Enter a prepaid access code that came with your textbook or from the bookstore.
 - » Buy instant access using a credit card or PayPal.
4. Select **Go to my course**.
5. Select **FINC 361 Managerial Finance, Section 599** from My Courses.

If you contact Pearson Support, give them the course ID: **zhou99296**

To sign in later:

1. Go to <https://mlm.pearson.com>
2. Sign in with the same Pearson account you used before.
3. Select **FINC 361 Managerial Finance, Section 599** from My Courses.